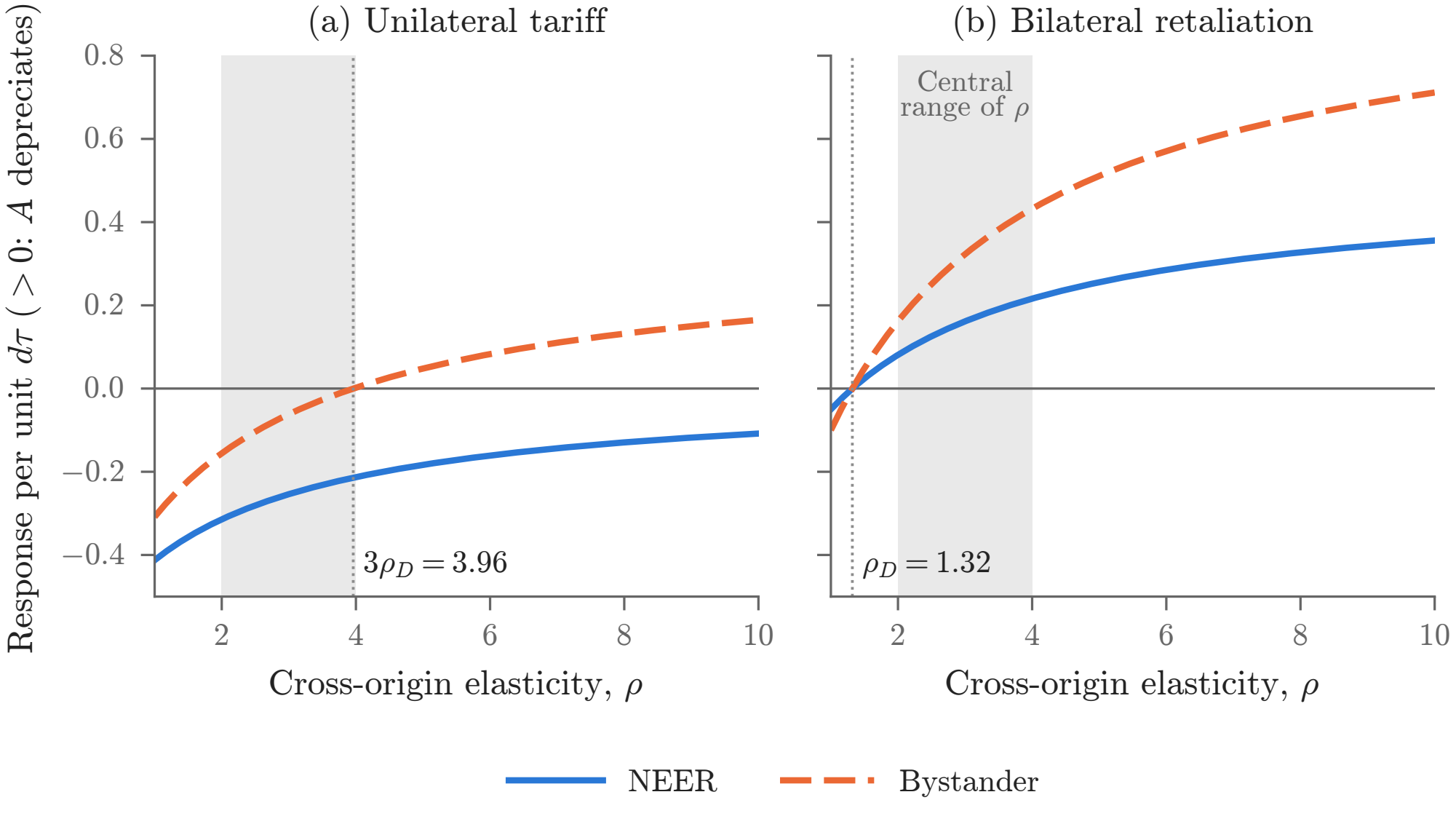
(a) Unilateral tariff
(b) Bilateral retaliation
Response per unit $d\tau$ (> 0: A depreciates)
0.8
0.6
0.4
0.2
0.0
−0.2
−0.4
$3\rho_D = 3.96$
Central range of ρ
$\rho_D = 1.32$
2
4
6
8
10
Cross-origin elasticity, ρ
Cross-origin elasticity, ρ
NEER
Bystander